

AN ELEMENTARY INTRODUCTION TO BUSINESS

Land. all natural resources and the ground itself, including soil, water, minerals and the site of a shop

The definition gives the boundary of land before the example is applied.

Entrepreneur. the person who combines the other resources, takes the risk and organises a business to meet a need

The definition gives the boundary of entrepreneur before the example is applied.

Environment. everything outside and around a business that can affect it, and everything inside that it controls

The definition gives the boundary of environment before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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and what result is expected. Only after that should the formal business term be used.

The word **Land** means all natural resources and the ground itself, including soil, water, minerals and the site of a shop. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Entrepreneur** means the person who combines the other resources, takes the risk and organises a business to meet a need. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Environment** means everything outside and around a business that can affect it, and everything inside that it controls. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Choosing a Location is what the forces that shape where a business sets up, and how to weigh them changes in an ordinary business decision.

The answer begins with the definition: The forces that shape where a business sets up, and how to weigh them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Choosing a Location.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Choosing a Location.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Choosing a Location.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Choosing a Location.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Choosing a Location.

Earlier ideas needed for this chapter are named before they are used.

The Factors of Production begins with a concrete question before the rule is stated.

Factors of production. the resources a business must combine to make or sell anything: land, labour, capital and the entrepreneur

The definition gives the boundary of factors of production before the example is applied.

Capital. the money and the man-made means of production, such as tools, stock and buildings, used to earn more

The definition gives the boundary of capital before the example is applied.

Plant. the factory, machinery and equipment that a business uses to make its goods

The definition gives the boundary of plant before the example is applied.

External environment. the forces outside the business that it cannot control but must respond to

The definition gives the boundary of external environment before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.2 'What a Business Is' and section 1.3 'Trade, Commerce and Industry'

2.1 THE FACTORS OF PRODUCTION

Suppose you are looking at a business that must make a decision about the factors of production. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Factors of production** means the resources a business must combine to make or sell anything: land, labour, capital and the entrepreneur. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Capital** means the money and the man-made means of production, such as tools, stock and buildings, used to earn more. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Plant** means the factory, machinery and equipment that a business uses to make its goods. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **External environment** means the forces outside the business that it cannot control but must respond to. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Factors of Production is what the four factors of production and the reward each earns changes in an ordinary business decision.

The answer begins with the definition: The four factors of production and the reward each earns. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Factors of Production is what how the factors are combined by the entrepreneur changes in an ordinary business decision.

The answer begins with the definition: How the factors are combined by the entrepreneur. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business

AN ELEMENTARY INTRODUCTION TO BUSINESS



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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches An Elementary Introduction to Business one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

1.T1 sort a student's week of spending into needs and wants and say why the sorting is hard

1.T2 explain exchange using two villagers who each make one thing

1.T3 name the branch of business for a printing press, a wholesaler and an insurer

1.T4 explain why money received and profit are different amounts

1.T5 a tea stall owner could earn more by selling only cold drinks, yet her neighbours rely on hot tea, so weigh profit against service and decide

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

Adam Smith, An Inquiry into the Nature and Causes of the Wealth of Nations, 1776: the pin-making example of workers who specialise and exchange. Search hint: Adam Smith pin factory 1776 division of labour.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

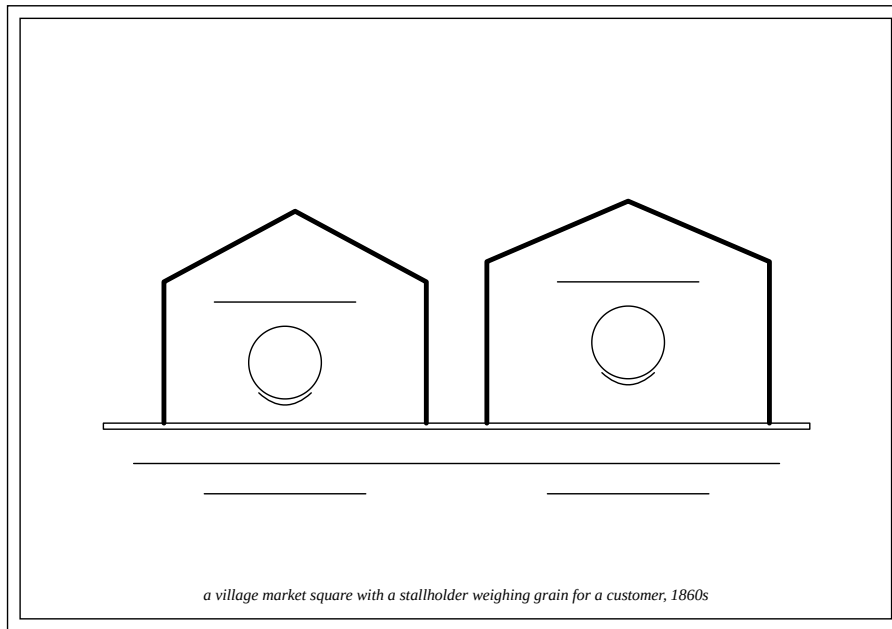
1.R1 sort a student's week of spending into needs and wants and say why the sorting is hard

1.R2 explain exchange using two villagers who each make one thing

1.R3 name the branch of business for a printing press, a wholesaler and an insurer

1.R4 explain why money received and profit are different amounts

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



CHAPTER 1

What Business Is, Does and Aims For

How does the business idea become a workable decision?



Show a reader with no background what a business is, how trade, commerce and industry fit together, and why businesses exist; this is a foundation chapter that also teaches how to read the book. The chapter builds the idea from ordinary experience to business practice.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Features, Functions and Aims of Business begins with a concrete question before the rule is stated.

Good. a physical item that can be touched and owned, such as a book, a chair or a bag of rice

The definition gives the boundary of good before the example is applied.

Risk. the chance that a business will earn less than it hoped, or lose money, because the future is uncertain

The definition gives the boundary of risk before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Trade, Commerce and Industry.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Trade, Commerce and Industry.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Trade, Commerce and Industry.

* * *

Before moving on. Trade, Commerce and Industry can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

1.4 FEATURES, FUNCTIONS AND AIMS OF BUSINESS

Suppose you are looking at a business that must make a decision about features, functions and aims of business. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Good** means a physical item that can be touched and owned, such as a book, a chair or a bag of rice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Risk** means the chance that a business will earn less than it hoped, or lose money, because the future is uncertain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Features, Functions and Aims of Business is what scope, features, functions and aims of business, and the conditions that help it succeed changes in an ordinary business decision.

The answer begins with the definition: Scope, features, functions and aims of business, and the conditions that help it succeed. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Features, Functions and Aims of Business.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

revenue. This is the point to carry into the next example in Needs, Wants and Exchange.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Needs, Wants and Exchange.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Needs, Wants and Exchange.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Needs, Wants and Exchange.

Case file, illustrative. Base facts. Rafiq Uddin Mia opened Meghna and Sons, a bookshop in Dhaka, on 4 January 2015. Start-up money was Tk 158,000 of his own savings, used as follows: books for sale Tk 110,000 (500 textbooks bought at an average Tk 220 each); advance paid to the landlord Tk 30,000; shelves and counter Tk 12,000; cash in hand Tk 6,000 ($110,000 + 30,000 + 12,000 + 6,000 = 158,000$). Average selling price Tk 280 per book, so each book sold earns Tk 60 above its cost. Monthly shop rent Tk 9,000. In January 2015 the shop sold 180 books: sales Tk 50,400 (180×280); cost of the books sold Tk 39,600 (180×220); amount left above book cost Tk 10,800. After rent of Tk 9,000 the profit for the month was Tk 1,800. Unsold at 31 January 2015: 320 books with a cost of Tk 70,400 (320×220). Rafiq took no wage for himself that month.

* * *

Before moving on. Needs, Wants and Exchange can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

1.2 WHAT A BUSINESS IS

Suppose you are looking at a business that must make a decision about what a business is. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Want** means something a person would like to have but could live without, such as a new phone or a holiday. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business** means an activity that supplies goods or services to customers in the hope of earning a profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

What a Business Is begins with a concrete question before the rule is stated.

Want. something a person would like to have but could live without, such as a new phone or a holiday

The definition gives the boundary of want before the example is applied.

Business. an activity that supplies goods or services to customers in the hope of earning a profit

The definition gives the boundary of business before the example is applied.

Commerce. all the activities that help goods move from maker to user, including trade and the services that support it

The definition gives the boundary of commerce before the example is applied.

The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The word **Commerce** means all the activities that help goods move from maker to user, including trade and the services that support it. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in What a Business Is is what business as the supply of goods and services for profit changes in an ordinary business decision.

The answer begins with the definition: Business as the supply of goods and services for profit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in What a Business Is is what profit and risk changes in an ordinary business decision.

The answer begins with the definition: Profit and risk. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in What a Business Is.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in What a Business Is.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in What a Business Is.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in What a Business Is.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in What a Business Is.

* * *

Before moving on. What a Business Is can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

2.T1 name the four factors and the reward each one earns

2.T2 list the forces that shape a location and say which matter most for a shop and which for a factory

2.T3 separate a business's internal from its external environment, with an example of each

2.T4 explain how a business can respond to a change it cannot control

2.T5 a bakery can rent a roadside plot at Tk 18,000 a month with 2,400 daily passers-by, or an inner lane plot at Tk 7,000 with 500, and has Tk 120,000 to start, so compare rent per 100 passers-by and decide

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

Tata Iron and Steel Company, 1907: the search for a site with ore, coal and water that ended at Sakchi, later Jamshedpur, India. Search hint: Tata Steel Sakchi site selection 1907 Jamshedpur.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

2.R1 name the four factors and the reward each one earns

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

Active partner. a partner who takes a full part in running the business day to day

The definition gives the boundary of active partner before the example is applied.

Dissolution. the ending of the partnership between the partners, or of the whole business, with its affairs settled

The definition gives the boundary of dissolution before the example is applied.

The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Active partner** means a partner who takes a full part in running the business day to day. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Dissolution** means the ending of the partnership between the partners, or of the whole business, with its affairs settled. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Types of Partners and Their Duties is what active, sleeping and nominal partners, and the duties implied between partners changes in an ordinary business decision.

The answer begins with the definition: Active, sleeping and nominal partners, and the duties implied between partners. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Types of Partners and Their Duties is what how profit and loss are shared when the deed is silent or specific changes in an ordinary business decision.

The answer begins with the definition: How profit and loss are shared when the deed is silent or specific. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

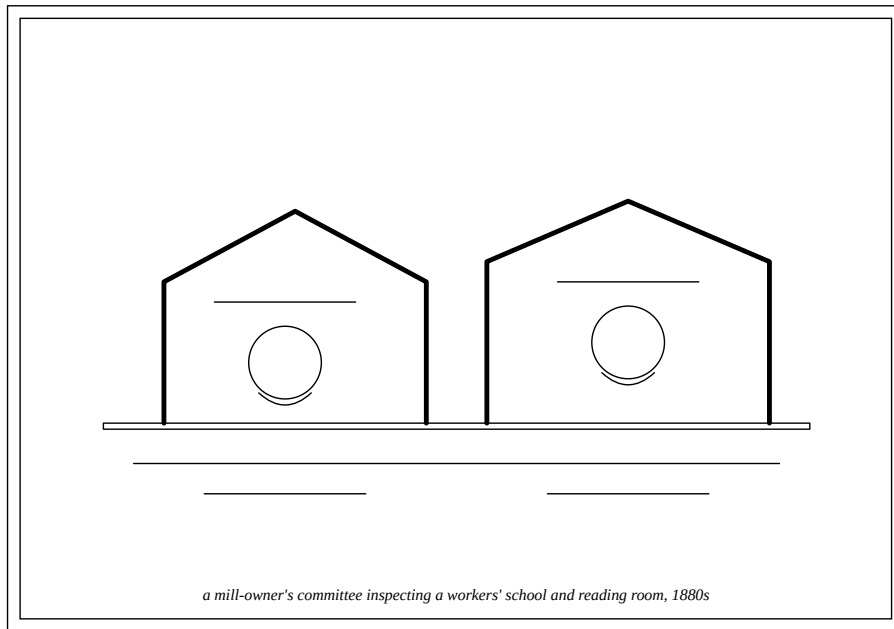
A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Types of Partners and Their Duties.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Types of Partners and Their Duties.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Types of Partners and Their Duties.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Types of Partners and Their Duties.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects.



CHAPTER III

Social Responsibility of Business

How does the business idea become a workable decision?



Explain why a business owes duties beyond profit, to whom it owes them, and how a reader can recognise a responsible business. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

The Idea and Types of Partnership begins with a concrete question before the rule is stated.

Partnership. a business owned by two or more people who agree to run it together and share its profit
The definition gives the boundary of partnership before the example is applied.

Partnership at will. a partnership with no fixed end date, which any partner can end by giving notice
The definition gives the boundary of partnership at will before the example is applied.

Nominal partner. a person who lends their name to the business and takes no share, yet may still be answerable to outsiders
The definition gives the boundary of nominal partner before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', sections 4.1 'Why the Form of Ownership Matters' and 4.2 'Sole Proprietorship'

5.1 THE IDEA AND TYPES OF PARTNERSHIP

Suppose you are looking at a business that must make a decision about the idea and types of partnership. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Partnership** means a business owned by two or more people who agree to run it together and share its profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Partnership at will** means a partnership with no fixed end date, which any partner can end by giving notice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Nominal partner** means a person who lends their name to the business and takes no share, yet may still be answerable to outsiders. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Idea and Types of Partnership is what partnership, the partnership deed and the base on which it rests changes in an ordinary business decision.

The answer begins with the definition: Partnership, the partnership deed and the base on which it rests. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Idea and Types of Partnership is what kinds of partnership: by purpose and length, and by liability changes in an ordinary business decision.

The answer begins with the definition: Kinds of partnership: by purpose and length, and by liability. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Idea and Types of Partnership.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue.

the rule. This is the point to carry into the next example in Meaning and Importance of Responsibility.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Meaning and Importance of Responsibility.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Meaning and Importance of Responsibility.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

* * *

Before moving on. Meaning and Importance of Responsibility can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

3.2 RESPONSIBILITY TO SOCIETY, SUPPLIERS AND INVESTORS

Suppose you are looking at a business that must make a decision about responsibility to society, suppliers and investors. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Stakeholder** means any person or group affected by a business or able to affect it, such as customers or neighbours. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business ethics** means the standards of right and wrong that guide how a business treats people and makes decisions. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Responsibility to Society, Suppliers and Investors is what duties to society, suppliers and investors changes in an ordinary business decision.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Responsibility to Society, Suppliers and Investors begins with a concrete question before the rule is stated.

Stakeholder. any person or group affected by a business or able to affect it, such as customers or neighbours

The definition gives the boundary of stakeholder before the example is applied.

Business ethics. the standards of right and wrong that guide how a business treats people and makes decisions

The definition gives the boundary of business ethics before the example is applied.

The paragraph connects the idea to a practical business question.

PAUSE AND CHECK 4.P1 after the definition of unlimited liability, and after the passage on the legal person

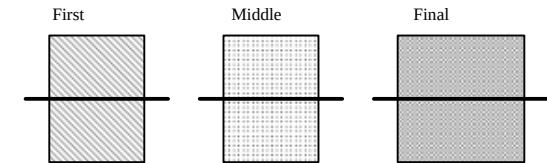


FIG. 4.1. two balance-style drawings of one business whose debts exceed its assets, one showing the shortfall falling on the owner's home and savings, the other stopping at the business

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 3, 'Social Responsibility of Business', section 3.2 'Responsibility to Society, Suppliers and Investors' — the lender and supplier whose claims the owner must meet; Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership' — what changes when two or more people share the business. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

The word **Supplier** means a person or business that sells the goods, materials or services that another business needs. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Recognising a Responsible Organisation is what signs that a business is acting responsibly changes in an ordinary business decision.

The answer begins with the definition: Signs that a business is acting responsibly. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Recognising a Responsible Organisation.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Recognising a Responsible Organisation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Recognising a Responsible Organisation.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Recognising a Responsible Organisation.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Recognising a Responsible Organisation.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

* * *

Supplier. a person or business that sells the goods, materials or services that another business needs

The definition gives the boundary of supplier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

* * *

Before moving on. Comparing the Forms can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020. Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 3.T1 say in your own words what social responsibility means and give two reasons it matters
- 3.T2 name five stakeholders of a restaurant and the duty owed to each
- 3.T3 explain what a business owes a supplier and what it owes an investor
- 3.T4 list three signs of a responsible business
- 3.T5 a printer offers books at 12% less, but its workers have no safety equipment, so weigh cost against duty and give a decision with reasons

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The collapse of the Rana Plaza building at Savar, Bangladesh, on 24 April 2013, and the building and fire safety agreement signed by buyers and unions in May 2013. Search hint: Rana Plaza collapse 2013 Accord on Fire and Building Safety.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

- 3.R1 say in your own words what social responsibility means and give two reasons it matters
- 3.R2 name five stakeholders of a restaurant and the duty owed to each
- 3.R3 explain what a business owes a supplier and what it owes an investor
- 3.R4 list three signs of a responsible business
- 3.R5 a printer offers books at 12% less, but its workers have no safety equipment, so weigh cost against duty and give a decision with reasons

The review questions return to the same ideas in a direct form.

PAUSE AND CHECK 3.P1 after the definition of stakeholder, and after the passage on duties to suppliers

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Comparing the Forms begins with a concrete question before the rule is stated.

The answer begins with the definition: Sole proprietorship: meaning, features, strengths, limits and suitable fields. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Sole Proprietorship is what formation of a sole proprietorship and why it survives beside large businesses changes in an ordinary business decision.

The answer begins with the definition: Formation of a sole proprietorship and why it survives beside large businesses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Sole Proprietorship.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Sole Proprietorship.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Sole Proprietorship.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Sole Proprietorship.

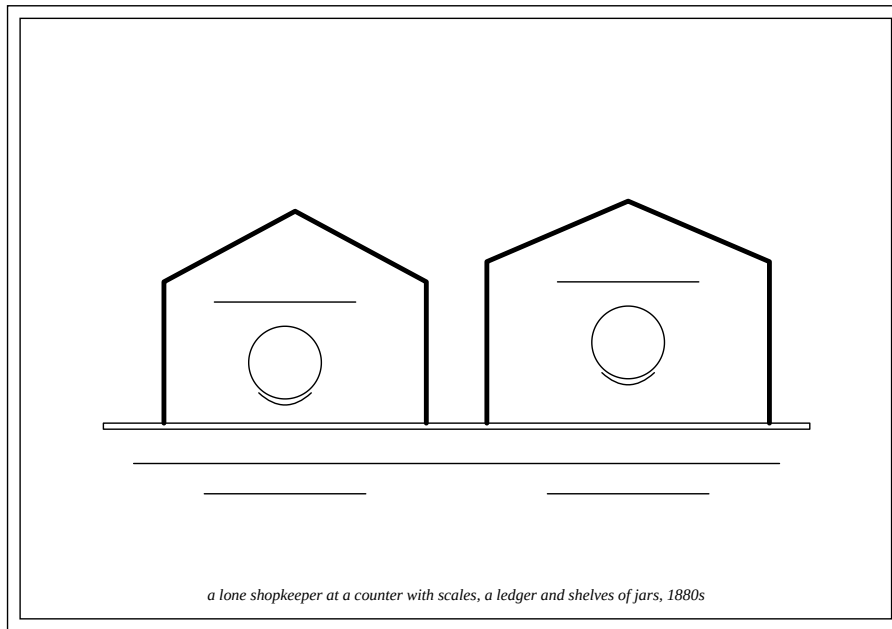
A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Sole Proprietorship.

* * *

Before moving on. Sole Proprietorship can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

4.3 COMPARING THE FORMS

Suppose you are looking at a business that must make a decision about comparing the forms. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.



CHAPTER IV

Ways to Own a Business, and the Sole Proprietor

How does the business idea become a workable decision?



Show why the form of ownership matters, teach limited and unlimited liability, and explain the sole proprietorship with its strengths and limits. The chapter builds the idea from ordinary experience to business practice.

Earlier ideas needed for this chapter are named before they are used.

Why the Form of Ownership Matters begins with a concrete question before the rule is stated.

Liability, the duty to pay what the business owes, whether to a supplier, a lender or an employee
The definition gives the boundary of liability before the example is applied.

Legal person, an organisation that the law treats as separate from its owners, able to own property and make contracts

The definition gives the boundary of legal person before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.2 'What a Business Is'; Chapter 3, 'Social Responsibility of Business', section 3.2 'Responsibility to Society, Suppliers and Investors'

4.1 WHY THE FORM OF OWNERSHIP MATTERS

Suppose you are looking at a business that must make a decision about why the form of ownership matters. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Liability** means the duty to pay what the business owes, whether to a supplier, a lender or an employee. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Legal person** means an organisation that the law treats as separate from its owners, able to own property and make contracts. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why the Form of Ownership Matters is what liability, unlimited and limited, and who bears a business's losses changes in an ordinary business decision.

The answer begins with the definition: Liability, unlimited and limited, and who bears a business's losses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why the Form of Ownership Matters is what the main forms of ownership and the legal person changes in an ordinary business decision.

The answer begins with the definition: The main forms of ownership and the legal person. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Why the Form of Ownership Matters.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why the Form of Ownership Matters.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into

Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 (360,000 x 2/3) and Imran Tk 120,000 (360,000 x 1/3). On 1 January 2023 Rafiq's second son Soheli joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 (480,000 x 2/4), Imran Tk 120,000 (480,000 x 1/4), Soheli Tk 120,000 (480,000 x 1/4). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

5.T1 define partnership and name the base it rests on

5.T2 compare active, sleeping and nominal partners

5.T3 state three duties partners owe each other

5.T4 list the ways a partnership can end

5.T5 three partners put in Tk 300,000, Tk 200,000 and Tk 100,000 and earn Tk 180,000, so share the profit by capital and say what changes if the deed fixes equal shares

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The partnership of Michael Marks and Thomas Spencer, formed in 1894 in Leeds, England, which grew into the retailer Marks and Spencer. Search hint: Marks and Spencer 1894 partnership Thomas Spencer.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

Earlier ideas needed for this chapter are named before they are used.

Meaning, Need and Importance begins with a concrete question before the rule is stated.

State enterprise. a business owned and run by the government, set up to serve the public or to earn money for the state

The definition gives the boundary of state enterprise before the example is applied.

Monopoly. a market in which only one seller supplies a good or service, so customers have no choice

The definition gives the boundary of monopoly before the example is applied.

Government company. a company, formed under company law, in which the government owns most or all of the shares

The definition gives the boundary of government company before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters'; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'

8.1 MEANING, NEED AND IMPORTANCE

Suppose you are looking at a business that must make a decision about meaning, need and importance. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **State enterprise** means a business owned and run by the government, set up to serve the public or to earn money for the state. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Monopoly** means a market in which only one seller supplies a good or service, so customers have no choice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Government company** means a company, formed under company law, in which the government owns most or all of the shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Meaning, Need and Importance is what the state enterprise, the public sector and the reasons governments run businesses, including the fields where it fits changes in an ordinary business decision.

The answer begins with the definition: The state enterprise, the public sector and the reasons governments run businesses, including the fields where it fits. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Meaning, Need and Importance is what nationalisation, monopoly and the case for and against state ownership changes in an ordinary business decision.

The answer begins with the definition: Nationalisation, monopoly and the case for and against state ownership. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Meaning, Need and Importance.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control

7.R5 a farmers' society sells its crop for Tk 600,000 against Tk 520,000 if each farmer sold alone and has 40 members, so find the gain per member and say what the members might do with a surplus

PAUSE AND CHECK 7.P1 after the principles, and after the passage on sharing surplus

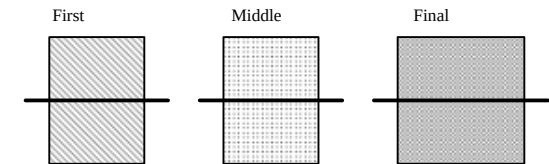


FIG. 7.1. members at the base voting in a general meeting, which elects a managing committee, which hires a manager; a second arrow shows surplus flowing back to members by their purchases

The chapter points to: Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership' — a small group owning together; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — the contrast of votes by member and votes by share. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Cross-references connect this chapter to related ideas elsewhere in the book.

CHAPTER VI

Joint Stock Company

How does the business idea become a workable decision?



Teach the company as a separate legal person owned through shares, how private and public companies differ, how one is formed, and its merits and demerits. The chapter builds the idea from ordinary experience to business practice.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Company and Its Shares.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Company and Its Shares.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Company and Its Shares.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Company and Its Shares.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

* * *

Before moving on. The Company and Its Shares can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.2 PRIVATE AND PUBLIC COMPANIES

Suppose you are looking at a business that must make a decision about private and public companies. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Share** means one equal part of a company's capital, which gives its holder a part of ownership. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Private and Public Companies begins with a concrete question before the rule is stated.

Share. one equal part of a company's capital, which gives its holder a part of ownership

The definition gives the boundary of share before the example is applied.

the rule. This is the point to carry into the next example in Importance and Limits.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Importance and Limits.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Importance and Limits.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

* * *

Before moving on. Importance and Limits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

Before moving on. Private and Public Companies can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.3 FORMING A COMPANY AND ISSUING A PROSPECTUS

Suppose you are looking at a business that must make a decision about forming a company and issuing a prospectus. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Shareholder** means a person or organisation that owns one or more shares in a company. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public company** means a company that may invite the public to buy its shares and whose shares can be freely traded. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Certificate of incorporation** means the official paper that proves the company legally exists as a separate person. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forming a Company and Issuing a Prospectus is what steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade changes in an ordinary business decision.

The answer begins with the definition: Steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The section recap gathers the main point before the next section.

Forming a Company and Issuing a Prospectus begins with a concrete question before the rule is stated.

Shareholder. a person or organisation that owns one or more shares in a company

The definition gives the boundary of shareholder before the example is applied.

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded

The definition gives the boundary of public company before the example is applied.

Certificate of incorporation. the official paper that proves the company legally exists as a separate person

The definition gives the boundary of certificate of incorporation before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Patronage refund. a share of the surplus paid to members in proportion to the business they did with the society

The definition gives the boundary of patronage refund before the example is applied.

Consumer cooperative. a society that buys goods in bulk and sells them to members at fair prices

The definition gives the boundary of consumer cooperative before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Patronage refund** means a share of the surplus paid to members in proportion to the business they did with the society. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Consumer cooperative** means a society that buys goods in bulk and sells them to members at fair prices. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Types and Operation of Cooperatives is what kinds of cooperative found in Bangladesh, including those that help farmers market their crops changes in an ordinary business decision.

The answer begins with the definition: Kinds of cooperative found in Bangladesh, including those that help farmers market their crops. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Types and Operation of Cooperatives is what how a society is formed, financed, governed and shares its surplus changes in an ordinary business decision.

The answer begins with the definition: How a society is formed, financed, governed and shares its surplus. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Types and Operation of Cooperatives.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Types and Operation of Cooperatives.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Types and Operation of Cooperatives.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Types and Operation of Cooperatives.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This

business meaning. This is the point to carry into the next example in Merits and Demerits.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Merits and Demerits.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Merits and Demerits.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Merits and Demerits.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Merits and Demerits.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Soheli 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Soheli. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Soheli Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

* * *

Before moving on. Merits and Demerits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Soheli 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Soheli. For the year

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

Earlier ideas needed for this chapter are named before they are used.

The Idea and Principles of Cooperation begins with a concrete question before the rule is stated.

Cooperative society. a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit

The definition gives the boundary of cooperative society before the example is applied.

Surplus. the money left over after a cooperative pays its costs, which it shares or keeps for the members

The definition gives the boundary of surplus before the example is applied.

Marketing cooperative. a society that gathers members' products, such as crops, and sells them for a better price

The definition gives the boundary of marketing cooperative before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership'; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'

7.1 THE IDEA AND PRINCIPLES OF COOPERATION

Suppose you are looking at a business that must make a decision about the idea and principles of cooperation. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Cooperative society** means a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Surplus** means the money left over after a cooperative pays its costs, which it shares or keeps for the members. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Marketing cooperative** means a society that gathers members' products, such as crops, and sells them for a better price. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Idea and Principles of Cooperation is what the cooperative society, its aims and the principles it follows changes in an ordinary business decision.

The answer begins with the definition: The cooperative society, its aims and the principles it follows. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in The Idea and Principles of Cooperation is what open membership and one member, one vote changes in an ordinary business decision.

The answer begins with the definition: Open membership and one member, one vote. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control

SOURCES

REVIEW QUESTIONS

- 6.R1** define company and explain why it counts as a separate person
- 6.R2** compare private and public companies on members, shares and the public offer
- 6.R3** list the documents needed to form a company and say what each contains
- 6.R4** state two merits and two demerits of the form
- 6.R5** a company has 50,000 shares of Tk 10, earns Tk 80,000 profit and keeps half, so work out the dividend per share and the sum each holder of 5,000 shares receives

PAUSE AND CHECK 6.P1 after limited liability for shareholders, and after the memorandum and the articles

These sources support the historical or defining material used in the chapter.

The review questions return to the same ideas in a direct form.

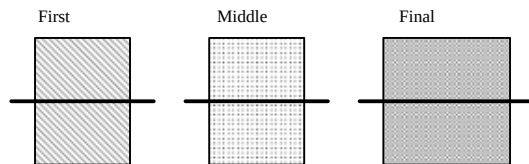


FIG. 6.1. the chain from shareholders to board of directors to managers, with arrows showing who elects and who reports

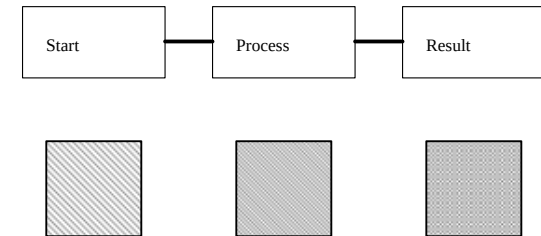


FIG. 6.2. the steps of forming a company in order, from agreeing the aims to receiving the certificate, drawn as numbered boxes

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters' — limited liability and the legal person; Chapter 9, 'The Share Market', section 9.1 'Shares and Their Kinds' — the kinds of shares and where they are traded. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

The word **Nationalisation** means the act of a government taking over a privately owned business and making it state property. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public corporation** means a state business set up by a special law, with its own legal identity and some freedom to act. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Privatisation** means the sale or handing over of a state enterprise to private owners. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Performance and Reform is what why state enterprises often lose money, and the remedies tried, including privatisation changes in an ordinary business decision.

The answer begins with the definition: Why state enterprises often lose money, and the remedies tried, including privatisation. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Performance and Reform.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Performance and Reform.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Performance and Reform.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Performance and Reform.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Performance and Reform.

Case file, illustrative. none

Nationalisation. the act of a government taking over a privately owned business and making it state property

The definition gives the boundary of nationalisation before the example is applied.

Public corporation. a state business set up by a special law, with its own legal identity and some freedom to act

The definition gives the boundary of public corporation before the example is applied.

Privatisation. the sale or handing over of a state enterprise to private owners

The definition gives the boundary of privatisation before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

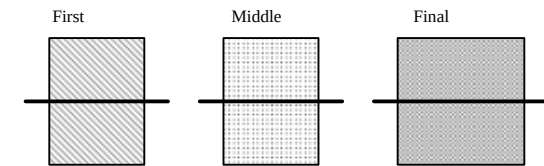


FIG. 10.1. the steps of an export in order, from enquiry and order through letter of credit and shipment to payment, drawn as numbered boxes

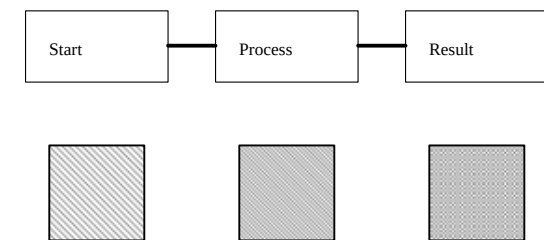


FIG. 10.2. two hatched columns, exports and imports, with the gap between them labelled as the balance of trade

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 11, 'Multinational Corporations', section 11.1 'What a Multinational Corporation Is' — firms that operate in several countries; Chapter 12, 'Institutions and Business Combination', section 12.2 'Zones, Export Bodies and Others' — bodies that help exporters. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

THINK IT THROUGH

- 8.T1 define state enterprise and name two reasons a government runs a business
- 8.T2 compare the three forms on control, money and legal identity
- 8.T3 explain what a public utility is and why it is often state-run
- 8.T4 give two causes of loss in state enterprises and one remedy
- 8.T5 a government mill loses Tk 40 crore a year while employing 3,000 people, so set out the case for keeping it, the case for selling it, and a decision

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The British Broadcasting Corporation, set up as a company in 1922 and made a public corporation under a Royal Charter on 1 January 1927. Search hint: BBC royal charter 1927 public corporation Reith.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

- 8.R1 define state enterprise and name two reasons a government runs a business
- 8.R2 compare the three forms on control, money and legal identity
- 8.R3 explain what a public utility is and why it is often state-run
- 8.R4 give two causes of loss in state enterprises and one remedy
- 8.R5 a government mill loses Tk 40 crore a year while employing 3,000 people, so set out the case for keeping it, the case for selling it, and a decision
- PAUSE AND CHECK 8.P1** after the three forms are introduced, and after the causes of loss

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

a foreign insurer US\$ 150 (Tk 18,000: 150 x 120), so goods and services together show a deficit of Tk 498,000 (480,000 + 18,000).

* * *

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Before moving on. Barriers to Export Trade can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: 6,000 x 120). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 (720,000 + 108,000 + 7,200), which is Tk 556.80 a book (835,200 / 1,500). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: 2,000 x 120). Balance of trade for the company's goods: 240,000 - 720,000 = minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to a foreign insurer US\$ 150 (Tk 18,000: 150 x 120), so goods and services together show a deficit of Tk 498,000 (480,000 + 18,000).

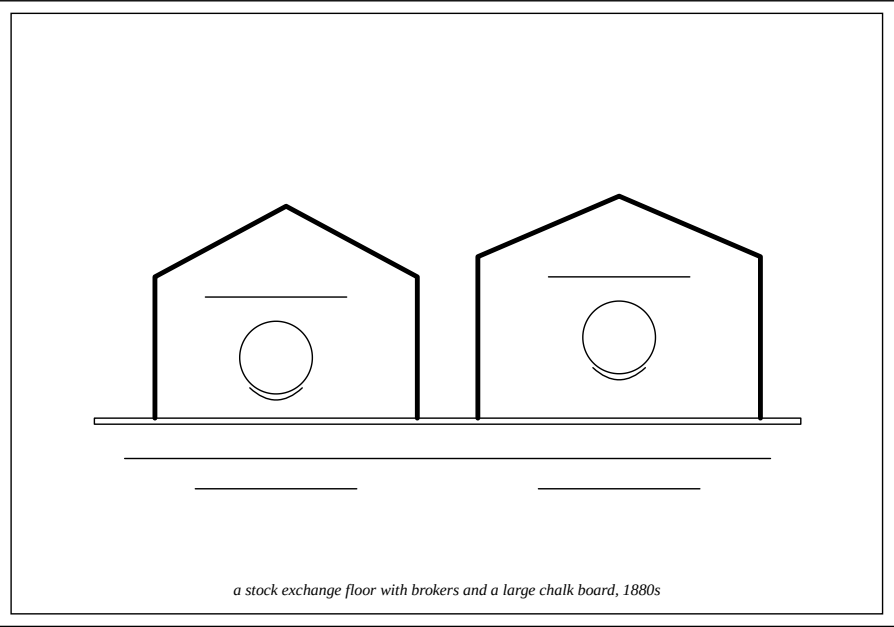
Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 10.T1 explain comparative advantage with a pair of goods of your own
- 10.T2 separate visible from invisible trade with two examples of each
- 10.T3 list the steps of an export in order
- 10.T4 name five documents used in foreign trade and say what each does
- 10.T5 a country sells goods worth 48 billion and buys goods worth 61 billion, so find the balance of trade and say if it is a surplus or deficit



a stock exchange floor with brokers and a large chalk board, 1880s

CHAPTER IX

The Share Market

How does the business idea become a workable decision?



Teach the kinds of shares, how a company first offers shares to the public, and how stock exchanges, including the Dhaka Stock Exchange, let investors trade them. The chapter builds the idea from ordinary experience to business practice.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Barriers to Export Trade begins with a concrete question before the rule is stated.

Comparative advantage. a country's ability to make a good at a lower sacrifice of other goods than another country can

The definition gives the boundary of comparative advantage before the example is applied.

Balance of payments. the full record of money flowing into and out of a country over a period for all kinds of dealings

The definition gives the boundary of balance of payments before the example is applied.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Export and Import Procedure and Documents.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Export and Import Procedure and Documents.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Export and Import Procedure and Documents.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Export and Import Procedure and Documents.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Export and Import Procedure and Documents.

* * *

Before moving on. Export and Import Procedure and Documents can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

10.4 BARRIERS TO EXPORT TRADE

Suppose you are looking at a business that must make a decision about barriers to export trade. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Comparative advantage** means a country's ability to make a good at a lower sacrifice of other goods than another country can. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Balance of payments** means the full record of money flowing into and out of a country over a period for all kinds of dealings. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

customers can affect service and revenue. This is the point to carry into the next example in Shares and Their Kinds.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Shares and Their Kinds.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Shares and Their Kinds.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Shares and Their Kinds.

Case file, illustrative. Carried forward. Meghna and Sons Limited has 120,000 issued shares of Tk 10 and an authorised capital of Tk 2,000,000 (200,000 shares); Rafiq, Imran and Sohel hold 60,000, 30,000 and 30,000 shares. At a board meeting on 10 February 2026 the directors considered raising Tk 4,000,000 for a second shop through an initial public offering of 400,000 new shares at Tk 10 each (400,000 x 10). The offering would need authorised capital to rise to at least 520,000 shares (120,000 + 400,000), Tk 5,200,000, and the company to become a public company. After the offering the three founders' 120,000 shares would be 23.1% of 520,000 shares (120,000 / 520,000) and outside investors would hold 76.9%. The board noted the cost of the offering and the loss of control, and deferred the decision. Imran Rafiq was asked to prepare a cost estimate by 31 March 2026.

* * *

Before moving on. Shares and Their Kinds can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

9.2 THE INITIAL PUBLIC OFFERING

Suppose you are looking at a business that must make a decision about the initial public offering. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Preference share** means a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Secondary market** means the part of the share market where investors buy and sell shares that already exist. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

The Initial Public Offering begins with a concrete question before the rule is stated.

Preference share. a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote

The definition gives the boundary of preference share before the example is applied.

Secondary market. the part of the share market where investors buy and sell shares that already exist

The definition gives the boundary of secondary market before the example is applied.

Export. a good or service sold to a buyer in another country

The definition gives the boundary of export before the example is applied.

Invisible trade. trade in services, such as shipping, insurance and tourism, that cannot be seen at a port

The definition gives the boundary of invisible trade before the example is applied.

Bill of lading. a receipt and contract issued by a shipping company for goods it has accepted for carriage

The definition gives the boundary of bill of lading before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Export** means a good or service sold to a buyer in another country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Invisible trade** means trade in services, such as shipping, insurance and tourism, that cannot be seen at a port. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Bill of lading** means a receipt and contract issued by a shipping company for goods it has accepted for carriage. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Measuring Trade Between Nations is what visible and invisible trade, the balance of trade and the balance of payments changes in an ordinary business decision.

The answer begins with the definition: Visible and invisible trade, the balance of trade and the balance of payments. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Measuring Trade Between Nations is what reading a surplus or a deficit changes in an ordinary business decision.

The answer begins with the definition: Reading a surplus or a deficit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Measuring Trade Between Nations.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Measuring Trade Between Nations.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Measuring Trade Between Nations.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Measuring Trade Between Nations.

The word **Share market** means the whole system of buying and selling shares, both when they are first issued and afterwards. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Initial public offering** means the first time a company invites the public to buy its shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Share price index** means a single number that shows how the prices of a chosen group of shares have moved together. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Stock Exchanges and the Dhaka Stock Exchange is what the stock exchange and the functions of the dhaka stock exchange changes in an ordinary business decision.

The answer begins with the definition: The stock exchange and the functions of the Dhaka Stock Exchange. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Stock Exchanges and the Dhaka Stock Exchange is what brokers, share price indices and the regulator's role changes in an ordinary business decision.

The answer begins with the definition: Brokers, share price indices and the regulator's role. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

Share market. the whole system of buying and selling shares, both when they are first issued and afterwards

The definition gives the boundary of share market before the example is applied.

Initial public offering. the first time a company invites the public to buy its shares

The definition gives the boundary of initial public offering before the example is applied.

Share price index. a single number that shows how the prices of a chosen group of shares have moved together

The definition gives the boundary of share price index before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Earlier ideas needed for this chapter are named before they are used.

Why Nations Trade, and Why It Matters begins with a concrete question before the rule is stated.

Foreign trade. the buying and selling of goods and services between people or businesses in different countries

The definition gives the boundary of foreign trade before the example is applied.

Visible trade. trade in goods that can be seen and counted at a port, such as books, cloth and machines

The definition gives the boundary of visible trade before the example is applied.

Letter of credit. a bank's written promise to pay the exporter once agreed documents are shown

The definition gives the boundary of letter of credit before the example is applied.

Non-tariff barrier. a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test

The definition gives the boundary of non-tariff barrier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.3 'Trade, Commerce and Industry'; Chapter 2, 'Resources, Location and Environment', section 2.1 'The Factors of Production'

10.1 WHY NATIONS TRADE, AND WHY IT MATTERS

Suppose you are looking at a business that must make a decision about why nations trade, and why it matters. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Foreign trade** means the buying and selling of goods and services between people or businesses in different countries. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Visible trade** means trade in goods that can be seen and counted at a port, such as books, cloth and machines. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Letter of credit** means a bank's written promise to pay the exporter once agreed documents are shown. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Non-tariff barrier** means a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why Nations Trade, and Why It Matters is what why nations trade: differences in resources and comparative advantage changes in an ordinary business decision.

The answer begins with the definition: Why nations trade: differences in resources and comparative advantage. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why Nations Trade, and Why It Matters is what the importance of foreign trade to a country such as Bangladesh changes in an ordinary business decision.

The answer begins with the definition: The importance of foreign trade to a country such as Bangladesh. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 9.T1 tell ordinary from preference shares on vote, dividend and risk
- 9.T2 separate the primary from the secondary market with an example of each
- 9.T3 describe the steps by which a company offers shares to the public
- 9.T4 list the main functions of a stock exchange
- 9.T5 an investor has Tk 100,000, wants steady income and dislikes risk, so choose between the two kinds of share and explain

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The Buttonwood Agreement signed by 24 brokers in New York on 17 May 1792, which began the organised trading that became the New York Stock Exchange. Search hint: Buttonwood Agreement 1792 New York brokers.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

- 9.R1 tell ordinary from preference shares on vote, dividend and risk
- 9.R2 separate the primary from the secondary market with an example of each
- 9.R3 describe the steps by which a company offers shares to the public
- 9.R4 list the main functions of a stock exchange
- 9.R5 an investor has Tk 100,000, wants steady income and dislikes risk, so choose between the two kinds of share and explain
- PAUSE AND CHECK 9.P1** after the two kinds of share, and after the split between the primary and secondary markets

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

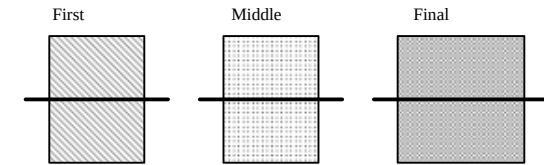


FIG. 9.1. companies selling shares to investors in the primary market (left), and investors trading among themselves through brokers on the stock exchange in the secondary market (right)

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 6, 'Joint Stock Company', section 6.3 'Forming a Company and Issuing a Prospectus' — the prospectus a public company issues; Chapter 12, 'Institutions and Business Combination', section 12.1 'Institutions That Promote Business' — the regulator of the share market. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

is the point to carry into the next example in What a Multinational Corporation Is.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in What a Multinational Corporation Is.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in What a Multinational Corporation Is.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in What a Multinational Corporation Is.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar (1,000,000 x 120). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh (3 + 2 + 85 = 90). Host-country nationals are 94.4% of staff (85 / 90). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

* * *

Before moving on. What a Multinational Corporation Is can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

11.2 PEOPLE IN A MULTINATIONAL

Suppose you are looking at a business that must make a decision about people in a multinational. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Home country** means the country where a multinational has its headquarters and where its parent company is based. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

People in a Multinational begins with a concrete question before the rule is stated.

Home country. the country where a multinational has its headquarters and where its parent company is based

The definition gives the boundary of home country before the example is applied.

A small business example can make the boundary easier to recognise. (*Chapter II*)

Cartel. a loose agreement among businesses that stay separate but fix prices or output together. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Certificate of commencement. the official paper that allows a public company to start business after it has raised enough money. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Certificate of incorporation. the official paper that proves the company legally exists as a separate person. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Chamber of commerce. an association of local businesses that speaks for them and helps them trade. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Charter party. the contract by which the owner of a ship hires the whole ship, or part of it, to another business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Commerce. all the activities that help goods move from maker to user, including trade and the services that support it. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Company. a business that the law treats as a separate person, owned by shareholders through shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Comparative advantage. a country's ability to make a good at a lower sacrifice of other goods than another country can. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Consumer cooperative. a society that buys goods in bulk and sells them to members at fair prices. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Cooperative society. a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Credit cooperative. a society that collects savings from members and lends to them on fair terms. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Customs duty. a tax charged on goods when they cross a national border. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

11.3 WHY MULTINATIONALS MATTER, AND THEIR PROBLEMS

Suppose you are looking at a business that must make a decision about why multinationals matter, and their problems. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Host country** means a country in which a multinational sets up a branch or subsidiary and operates. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Host-country national** means an employee of a multinational who comes from the country where it is operating. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why Multinationals Matter, and Their Problems is what the gains a multinational brings to a host country and the problems it can cause changes in an ordinary business decision.

The answer begins with the definition: The gains a multinational brings to a host country and the problems it can cause. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why Multinationals Matter, and Their Problems is what technology transfer and the way a country such as Bangladesh deals with multinationals changes in an ordinary business decision.

The answer begins with the definition: Technology transfer and the way a country such as Bangladesh deals with multinationals. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern

Why Multinationals Matter, and Their Problems begins with a concrete question before the rule is stated.

Host country. a country in which a multinational sets up a branch or subsidiary and operates

The definition gives the boundary of host country before the example is applied.

Host-country national. an employee of a multinational who comes from the country where it is operating

The definition gives the boundary of host-country national before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar (1,000,000 x 120). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh (3 + 2 + 85 = 90). Host-country nationals are 94.4% of staff (85 / 90). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 11.T1 define multinational corporation and name three reasons a firm becomes one
- 11.T2 tell home country from host country with an example
- 11.T3 explain the three groups of staff and why a multinational mixes them
- 11.T4 list two gains and two problems for a host country
- 11.T5 a foreign factory will employ 400 local workers and train them, but may send most of its profit abroad and push local makers out, so weigh both sides and say what rules a government might set

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The Singer Manufacturing Company's factory at Kilbowie, near Glasgow, Scotland, opened in 1867 as one of the first overseas factories of an American firm. Search hint: Singer Kilbowie factory 1867 Scotland first overseas.. The historical example is useful because it places the business principle in time and gives the reader a concrete

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

A.1 A1.1 | PERCENTAGES AND PERCENTAGE CHANGE

The term **Percentage** means a part expressed out of one hundred. If 25 of 100 books are sold, the percentage sold is 25%.

Percentage change is found by taking the change, dividing by the original amount, and multiplying by 100. If sales rise from 200 to 250, the change is 50 and the percentage change is $50 \div 200 \times 100 = 25\%$.

A.2 A1.2 | RATIOS AND AVERAGES

The term **Ratio** means a comparison of two quantities using division. If a business has 4 workers and 2 supervisors, the ratio of workers to supervisors is 4 : 2, which can be simplified to 2 : 1.

The term **Average** means a value found by combining quantities and dividing by their number. For 10, 20 and 30, the average is $(10 + 20 + 30) \div 3 = 20$.

A.3 A1.3 | REARRANGING AN EQUATION AND ROUNDING

If sales = price $\times$ quantity, then quantity = sales $\div$ price. For sales of Tk 600 and a price of Tk 20, quantity = $600 \div 20 = 30$.

If a calculation gives 1,666.666..., rounded to the nearest taka it becomes Tk 1,667. Keep extra figures during intermediate steps when rounding early would change the final result.

A.4 A1.4 | READING A GRAPH

The horizontal axis normally shows the independent quantity and the vertical axis shows the quantity being measured. A point on the graph represents one pair of values. A rising line means the vertical measure increases as the horizontal measure increases.

Check the units on both axes, locate the relevant point, and compare points using the same scale. If the graph begins above zero, do not treat the visible height as the amount itself without reading the axis labels.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

Percentages express a part in relation to one hundred.

Percentage. a part expressed out of one hundred

Percentage change compares a new amount with an earlier amount.

Ratios compare quantities by showing their relative sizes.

Ratio. a comparison of two quantities using division

An average gives one representative value for a group of quantities.

Average. a value found by combining quantities and dividing by their number

An equation can be rearranged by performing the same operation on both sides.

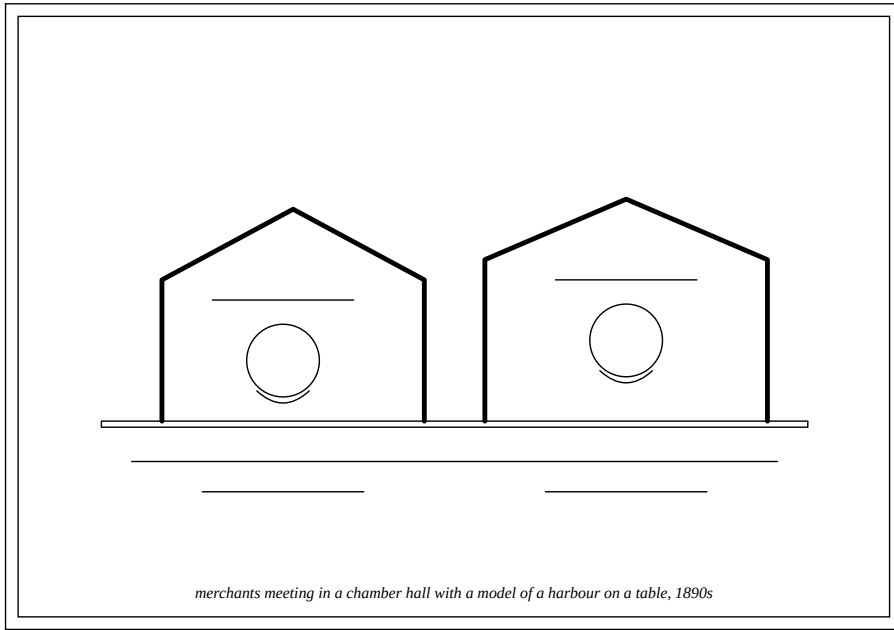
Rounding should be done only at the requested level of accuracy.

A graph shows a relationship visually, so first identify its axes and units.

A graph must be read from its scale, labels and plotted values rather than from appearance alone.

This is a reference check for applying the numerical rule safely.

This is a reference check for applying the numerical rule safely.



CHAPTER XII

Institutions and Business Combination

How does the business idea become a workable decision?



Teach the bodies that promote and regulate business in Bangladesh, and why and how businesses combine, with the opportunities and threats of combining. The chapter builds the idea from ordinary experience to business practice.

customers can affect service and revenue. This is the point to carry into the next example in Institutions That Promote Business.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Institutions That Promote Business.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Institutions That Promote Business.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Institutions That Promote Business.

Case file, illustrative. Carried forward. Meghna and Sons Limited has been a member since 1 July 2022 of a district traders' chamber that belongs to a national federation of chambers (illustrative), with an annual subscription of Tk 12,000. Sales for the year ended 31 March 2026 were Tk 3,600,000. On 12 May 2026 the board considered buying a printing press for Tk 2,500,000 (vertical integration) and rejected it. On 1 June 2026 the company took over Shapla Books, a shop with annual sales of Tk 1,800,000, for Tk 900,000, paid by a bank loan of Tk 500,000 and retained profit of Tk 400,000 ($500,000 + 400,000 = 900,000$). Shapla Books ceased to exist as a separate firm. Combined annual sales of the two shops are Tk 5,400,000 ($3,600,000 + 1,800,000$), and Shapla Books' sales are one third of the combined figure.

* * *

Before moving on. Institutions That Promote Business can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

12.2 ZONES, EXPORT BODIES AND OTHERS

Suppose you are looking at a business that must make a decision about zones, export bodies and others. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Chamber of commerce** means an association of local businesses that speaks for them and helps them trade. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Holding company** means a company that controls others by owning enough of their shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Zones, Export Bodies and Others begins with a concrete question before the rule is stated.

Chamber of commerce. an association of local businesses that speaks for them and helps them trade

The definition gives the boundary of chamber of commerce before the example is applied.

Holding company. a company that controls others by owning enough of their shares

The definition gives the boundary of holding company before the example is applied.

THINK IT THROUGH

- 12.T1 say what a chamber of commerce does for its members
- 12.T2 describe the purpose of an export processing zone
- 12.T3 compare a cartel, a holding company and a merger
- 12.T4 tell horizontal from vertical integration with an example of each
- 12.T5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The Standard Oil Trust of 1882 in the United States, the Sherman Antitrust Act of 1890, and the order of 1911 that broke the company into parts. Search hint: Standard Oil trust 1882 Sherman Act 1890 breakup 1911.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

- 12.R1 say what a chamber of commerce does for its members
- 12.R2 describe the purpose of an export processing zone
- 12.R3 compare a cartel, a holding company and a merger
- 12.R4 tell horizontal from vertical integration with an example of each
- 12.R5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate
- PAUSE AND CHECK 12.P1** after the securities regulator, and after the forms of combination

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

12.3 FORMS OF BUSINESS COMBINATION

Suppose you are looking at a business that must make a decision about forms of business combination. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Export processing zone** means a designated area with special facilities and incentives, set up to attract factories that make goods for export. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Merger** means the joining of two or more businesses into one, with the owners of each becoming owners of the new business. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forms of Business Combination is what forms of combination: cartel, holding company, merger and the directions of integration changes in an ordinary business decision.

The answer begins with the definition: Forms of combination: cartel, holding company, merger and the directions of integration. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forms of Business Combination.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forms of Business Combination.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forms of Business Combination.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Forms of Business Combination.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects.

Forms of Business Combination begins with a concrete question before the rule is stated.

Export processing zone. a designated area with special facilities and incentives, set up to attract factories that make goods for export

The definition gives the boundary of export processing zone before the example is applied.

Merger: the joining of two or more businesses into one, with the owners of each becoming owners of the new business

The definition gives the boundary of merger before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

This is the point to carry into the next example in Forms of Business Combination.

* * *

Before moving on. Forms of Business Combination can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

12.4 OPPORTUNITIES AND THREATS

Suppose you are looking at a business that must make a decision about opportunities and threats. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Business combination** means two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Horizontal integration** means joining businesses that sell the same kind of good or service at the same stage of the chain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Opportunities and Threats is what why businesses combine, and the opportunities and threats that follow changes in an ordinary business decision.

The answer begins with the definition: Why businesses combine, and the opportunities and threats that follow. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Opportunities and Threats.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Opportunities and Threats.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Opportunities and Threats.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

The section recap gathers the main point before the next section.

Opportunities and Threats begins with a concrete question before the rule is stated.

Business combination. two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit

The definition gives the boundary of business combination before the example is applied.

Horizontal integration. joining businesses that sell the same kind of good or service at the same stage of the chain

The definition gives the boundary of horizontal integration before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

A small business example can make the boundary easier to recognise. (*Chapter II*)

Land. all natural resources and the ground itself, including soil, water, minerals and the site of a shop. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Legal person. an organisation that the law treats as separate from its owners, able to own property and make contracts. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Letter of credit. a bank's written promise to pay the exporter once agreed documents are shown. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Liability. the duty to pay what the business owes, whether to a supplier, a lender or an employee. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Limited liability. the owner can lose only the money put into the business, and personal property stays safe. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Location. the place where a business carries out its work, chosen from the available sites. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Marketing cooperative. a society that gathers members' products, such as crops, and sells them for a better price. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Memorandum of association. the founding document that states a company's name, aims, home and capital. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Merger. the joining of two or more businesses into one, with the owners of each becoming owners of the new business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Monopoly. a market in which only one seller supplies a good or service, so customers have no choice. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Multinational corporation. a company that owns and runs business operations in two or more countries. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Nationalisation. the act of a government taking over a privately owned business and making it state property. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Preference share. a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Primary market. the part of the share market where a company sells new shares directly to investors for the first time. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Private company. a company that limits who may hold its shares and may not invite the public to buy them. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Privatisation. the sale or handing over of a state enterprise to private owners. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Producer cooperative. a society in which members make goods together and share the work and the reward. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Profit. the money left over when the costs of running a business are taken away from what it earns. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Prospectus. the document by which a public company invites the public to buy its shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Public corporation. a state business set up by a special law, with its own legal identity and some freedom to act. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Public sector. all the businesses and organisations that the government owns or controls. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Public utility. a service that everyone needs and that is hard to supply through competition, such as water or electricity. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Ratio. a comparison of two quantities using division. (*Appendix A*)

Risk. the chance that a business will earn less than it hoped, or lose money, because the future is uncertain. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

State enterprise, 62–65, 67–68

Stock exchange, 70, 72–76, 96, 103

Subsidiary, 88–89, 91–94

Supplier, 21–26, 28–29, 31–32, 34, 66, 92

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Technology transfer, 90–91

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Trade, 2, 4–6, 9, 12, 29, 31–32, 47, 52, 70, 78–86, ...

Trade licence, 29, 31–32

U

Unlimited liability, 29, 33–34

V

Vertical integration, 96–97, 101–102

Visible trade, 78

W

Want, 2–3, 8–9, 75

A small business example can make the boundary easier to recognise. (*Chapter IX*)

Subsidiary. a company that is owned or controlled by another, larger company called the parent. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Supplier. a person or business that sells the goods, materials or services that another business needs. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Surplus. the money left over after a cooperative pays its costs, which it shares or keeps for the members. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Technology transfer. the passing of knowledge, machines and methods from one country or firm to another. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Third-country national. an employee of a multinational who comes from neither its home nor its host country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Trade. the buying and selling of goods, either to make a profit or to supply what others want. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Trade licence. official permission, given by a local authority, to carry on a particular business in a particular place. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Unlimited liability. the owner must pay all the business's debts, using personal property if the business cannot. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Vertical integration. joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Visible trade. trade in goods that can be seen and counted at a port, such as books, cloth and machines. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Want. something a person would like to have but could live without, such as a new phone or a holiday. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

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F

Factors of production, 9, 12–13, 78

Foreign trade, 78, 81, 84–85, 88, 94, 103

G

Good, 2–6, 12, 15, 23, 56–57, 62, 78–85, 99–100

Government company, 62–64, 68

H

Holding company, 97, 99, 102–103

Home country, 88–89, 93–94

Horizontal integration, 100

Host country, 88, 91, 93–94

Host-country national, 89, 91–93

I

Import, 18, 20–21, 24, 32, 57–58, 62–63, 66, 78–79, 81–84, 86, ...

Industry, 5–6, 9, 12, 78

Initial public offering, 71–74

Internal environment, 15

Investor, 20–25, 28, 32, 34, 66, 70–71, 74–76, 92, 94, 96

Invisible trade, 79–80, 83–85

L

Labour, 8, 12–13, 15–16

Land, 3, 7, 12–14, 16, 79, 83–84

Legal person, 28, 34, 44, 52

Letter of credit, 78–79, 83–84, 86

Liability, 28–29, 31, 33–34, 36, 42, 44, 50–52

Limited liability, 31, 33, 44, 50–52

Location, 9, 13–18, 20, 26, 78

M

Marketing cooperative, 54

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N

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Need, 2–3, 8–9, 12, 14, 17, 20, 23–25, 28, 33, 36, ...

Nominal partner, 36, 38, 41–42

ANSWERS TO QUESTIONS

CHAPTER 1 · WHAT BUSINESS IS, DOES AND AIMS FOR

1.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t4 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

1.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

1.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER 11 · RESOURCES, LOCATION AND ENVIRONMENT

2.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

2.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER V · PARTNERSHIP

5.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

5.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

5.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

5.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VI · JOINT STOCK COMPANY

6.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

6.t2 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

6.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

6.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

6.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

6.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

8.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER IX · THE SHARE MARKET

9.t1 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

9.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

9.t3 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

9.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

9.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

9.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

9.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER X · FOREIGN TRADE: MEASURING IT AND DOING IT

10.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

10.t6 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r6 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XI · MULTINATIONAL CORPORATIONS

11.t1 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

11.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

11.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

11.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

11.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

11.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XII · INSTITUTIONS AND BUSINESS COMBINATION

12.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

12.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.